

VoltEdge Electronics — Board Summary

Analytics review · 24-month extract 2024-07 → 2026-06 · all figures USD · prepared 2026-09

THE READ

VoltEdge has bought \$22M of current-year revenue and reached contribution break-even for the first time — but the break-even sits entirely on a temporarily-cheap CAC, the underlying margin isn't rising (growth is pure volume into thin-margin categories), and ~\$4.4M of cash is trapped in an oversized inventory. The fastest, most certain value is a working-capital program; the biggest risk is CAC reverting to plan. Repeat behaviour is the credible long-term profit path and deserves dedicated investment now.

Recommendations

In priority order. Rationale and evidence for each is in the numbered sections that follow.

- 1. Working-capital / inventory program — CFO priority #1.** SKU-level reorder points and a dead-stock clear-out; target Days Inventory Outstanding 90 (from 158) within two quarters. Frees ~\$3M now, ~\$4.4M at benchmark — larger than every P&L lever combined. Put Cash Conversion Cycle and Inventory Value on the Executive Summary. (§4)
- 2. Protect and stress-test CAC.** Present break-even as "positive *at current CAC*". Track **marginal** (not blended) CAC monthly; stress the plan at CAC = \$33 and \$45. MER of 12.8× signals under-investment — test scaling paid spend to a ~\$45 marginal-CAC ceiling; there is likely profitable volume above budget. (§2)
- 3. Lift gross margin through category mix, and cut returns cost.** A deliberate mix-up plan into audio / accessories / wearables (the margin-carrying categories losing share) is worth ~1–2pp of gross margin; set a category-mix guardrail. On returns: two KPIs on the Ops/CRM page — restock rate (54% → 70%) and controllable return rate — worth ≈ \$0.4–0.7M/yr. (§3, §6)
- 4. Promo and shipping-fee discipline.** Cap Black Friday depth at 12–14% and shorten events; re-scope other events toward margin-carrying categories. Raise free-shipping thresholds market by market, starting with Brazil (5% recovery). Combined ≈ +\$0.5–0.9M/yr contribution. (§5)
- 5. Fund a +1-to-+3-month retention program.** Lifecycle CRM + accessory cross-sell; target +1-month re-order 16% → 20%. Model repeat revenue as improving, but do not let it carry the plan yet — new-customer CAC is still the swing factor. (§6)
- 6. Reporting.** Lead every growth slide with **+40% like-for-like** (show +137% as "incl. expansion"). Add to the Executive Summary: CCC, Inventory Value trend, shipping-cost recovery %, gross-profit-per-promo-day, and both returning-revenue definitions with the reconciliation. (§1)

Headline metrics

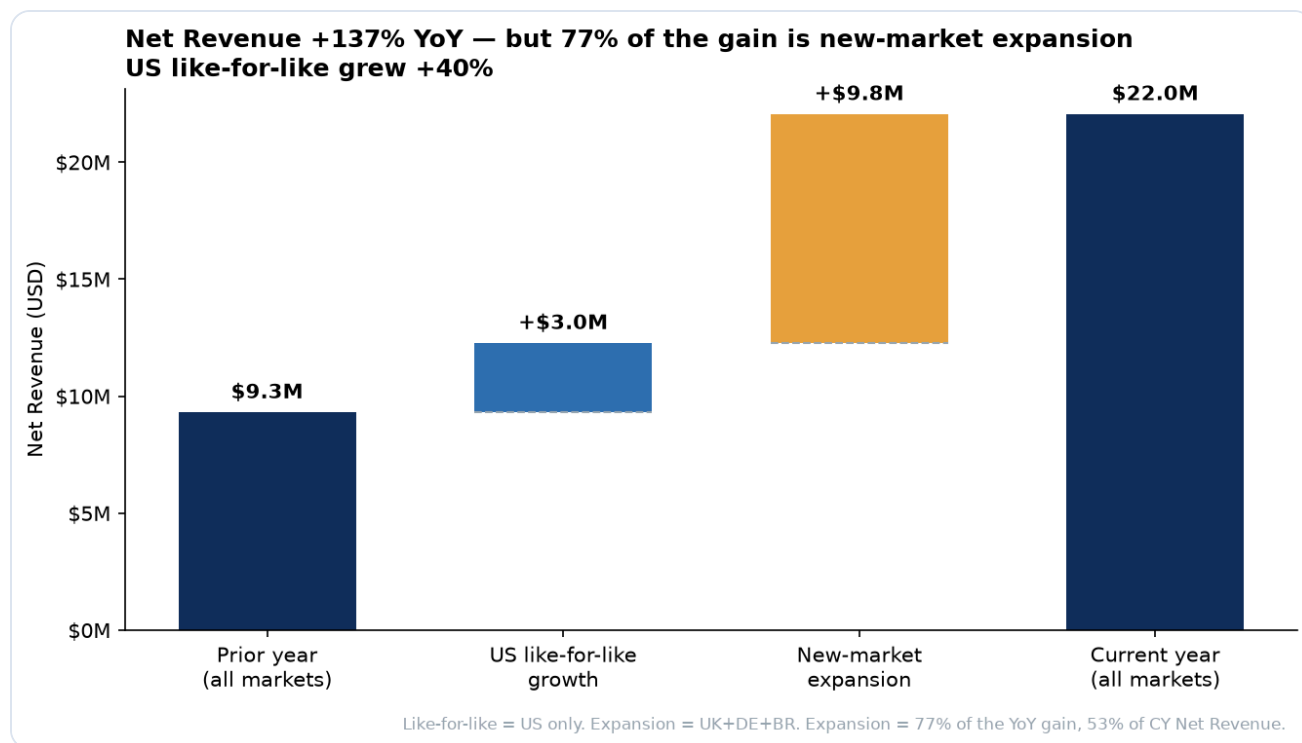
Current year unless noted · full method in the Deep Dive.

\$31.3M Net Revenue, 24 months (\$22.0M current year)	+137% / +40% Net Revenue YoY total vs US like-for-like	+\$325k Current-year contribution margin (1.5% of Net Revenue)
17.8% Gross margin thin by design; +1.3pp YoY	≈134 days Cash conversion cycle almost entirely inventory	\$26.91 Blended CAC — 18% under plan (the swing factor)

The six findings behind the recommendations — headline, number, "so what" — follow, one per page.

1 · Growth is real, but the headline is expansion — plan the business on +40%

Net Revenue grew +137%, but 77% of that gain is new markets opening (UK & DE from Jan-25, BR from Jul-25). The proven US business grew +40% like-for-like — healthy — but came in 2% under its own plan, the only market to miss. The +137% will not recur; next year's comparison already includes Europe.



Where the year-over-year Net Revenue gain came from.

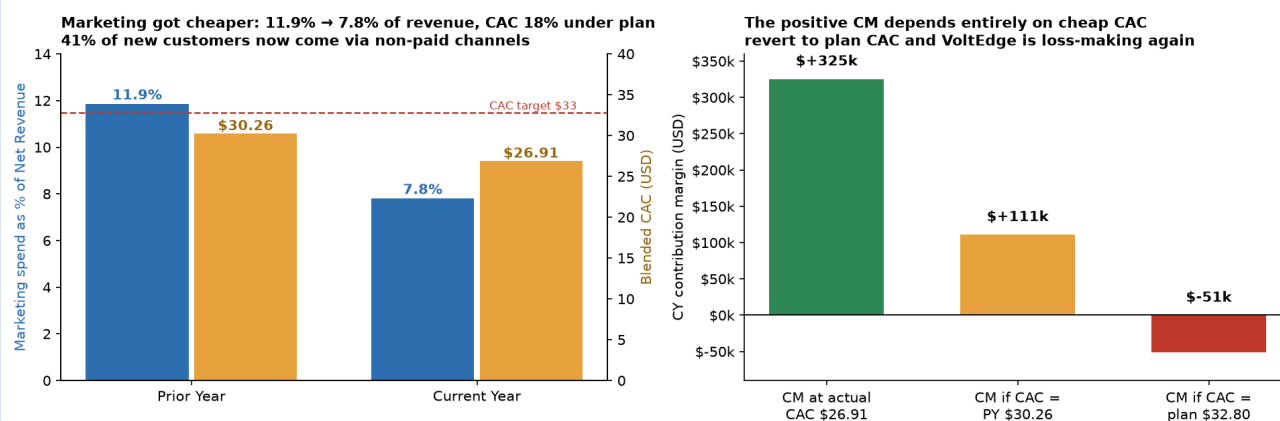
Recommendation. Lead every growth slide with +40% like-for-like; show +137% as "incl. expansion". Set FY27 US plan off the +40% trajectory with a deceleration assumption. Press management on the US plan miss — it is hidden by the blended beat (+1.8% vs plan).

2 · We are at break-even — and only because customers came cheap

Contribution margin went from **-\$365k** last year to **+\$325k** this year. Almost all of that swing is **marketing efficiency**: spend fell from 11.9% to 7.8% of Net Revenue and blended CAC landed 18% under plan. Gross margin barely moved (+1.3pp).

Current-year contribution margin	Value
At actual CAC (\$26.91)	+\$325k
If CAC reverted to last year (\$30.26)	+\$111k
If CAC hit plan (\$32.80)	-\$51k (loss)

Contribution margin turned positive on marketing efficiency — the least durable input

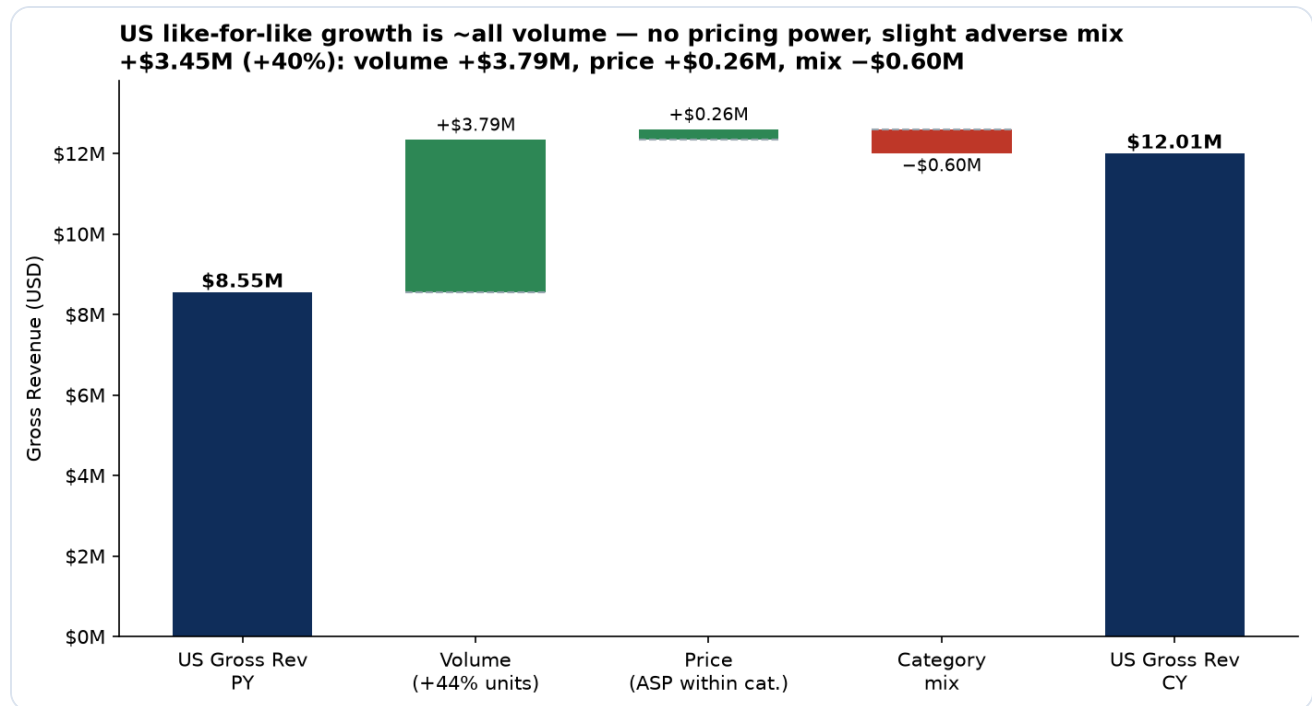


The positive contribution margin is a function of a single input — CAC.

Recommendation. Present break-even as "positive *at current CAC*". Track **marginal CAC** monthly; stress-test the plan at CAC = \$33 and \$45. Separately, MER of 12.8× signals under-investment — test scaling paid spend to a marginal-CAC ceiling.

3 · The margin is not improving structurally — US growth is all volume

US like-for-like growth decomposes to ~110% volume, +8% price, –17% category mix. There is no pricing power, and the mix is drifting *toward* Smartphones — the thinnest-margin, highest-return category. Volume growth at a fixed thin margin does not fix profitability.



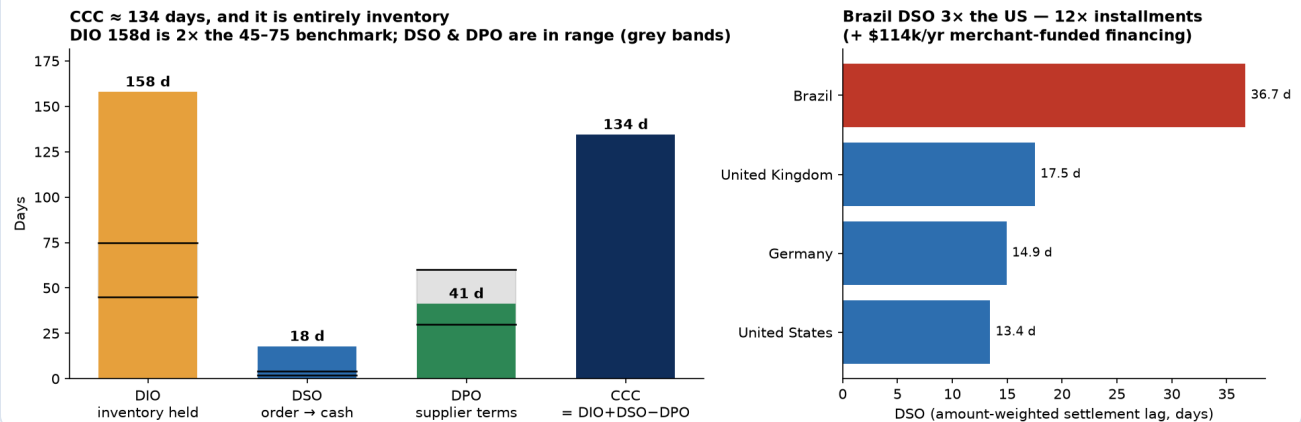
US like-for-like revenue growth: price / volume / mix.

Recommendation. A deliberate mix-up plan into audio, accessories and wearables (the margin-carrying categories that are *losing* share) is the cheapest route to +1–2pp of gross margin.

4 · The real constraint is cash: ~\$4.4M frozen in inventory

The P&L is at break-even; the balance sheet is not. The cash conversion cycle is ~134 days and it is entirely inventory — Days Inventory Outstanding is 158 days vs a 45–75 benchmark, and average inventory has grown from \$5.8M to \$8.3M. Payables (41 days) and receivables (ex-Brazil) are already well managed.

The working-capital problem is bigger than the P&L: ~\$4.4M cash could be freed from inventory



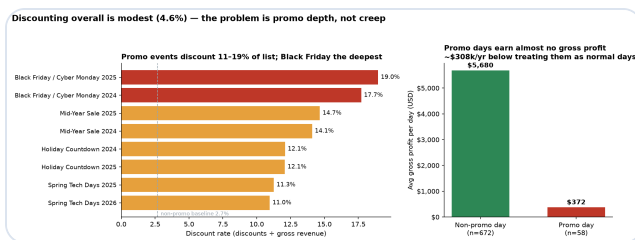
Cash conversion cycle composition, and DSO by market.

Recommendation. An inventory-reduction program (SKU-level reorder points, clear dead stock) targeting DIO 90 within two quarters frees ~\$3M now, ~\$4.4M at benchmark — larger than every P&L lever combined. Put CCC and Inventory Value on the Executive Summary.

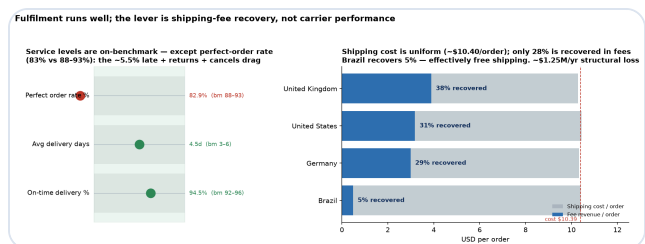
5 · Two self-inflicted margin leaks worth ~\$0.9M/yr

Promo depth. Blended discounting is a healthy 4.6%, but on the 58 promo days a day earns **\$372 of gross profit vs \$5,680** on a normal day — the 15.7% average discount consumes the entire product margin. Cost $\approx -\$308\text{k/yr}$ [95% CI: $-\$379\text{k}$, $-\$242\text{k}$] vs treating those as normal days ($p = 1.2 \times 10^{-12}$, Welch's t-test; holds after controlling for calendar-month seasonality). Black Friday at 17–19% off is the worst.

Shipping-fee recovery. VoltEdge recovers only **28%** of shipping cost in fees (Brazil: 5%) — a **~\$0.6M/yr** structural subsidy. Service levels are otherwise on-benchmark; carriers are not the issue.



Promo events vs baseline gross profit.



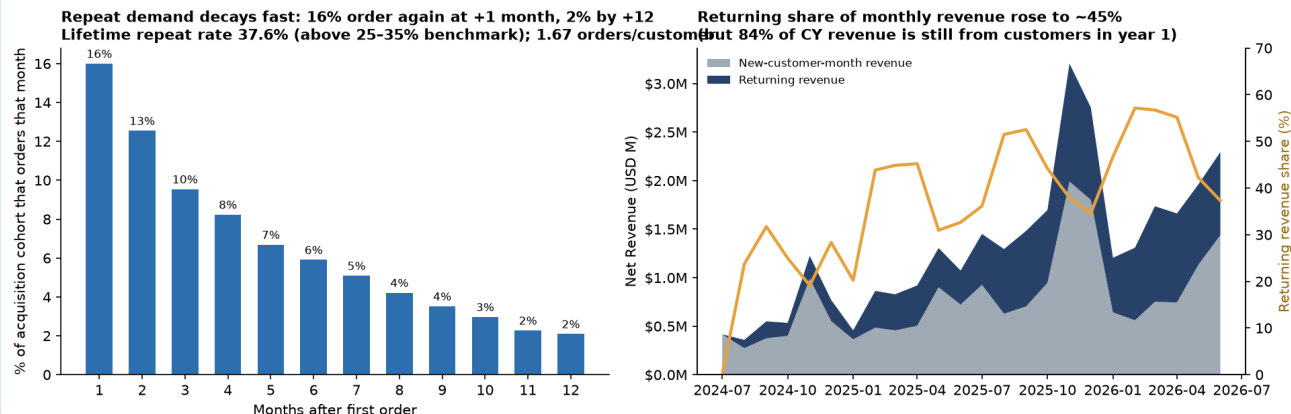
Service levels vs benchmark; shipping-fee recovery by market.

Recommendation. Cap Black Friday depth at 12–14% and shorten the window; re-scope other events toward margin-carrying categories. Raise free-shipping thresholds market by market, starting with Brazil. Combined $\approx +\$0.5\text{--}0.9\text{M/yr}$ contribution.

6 · The path to profit — repeat revenue — is credible but young

Lifetime repeat rate is **37.6%** (above the 25–35% benchmark) and the newer markets already out-repeat the US. But re-order demand decays fast (16% at +1 month → 2% at +12), lifetime is 1.67 orders/customer, and the base is <2 years old, so **84% of current-year revenue is still from first-year customers**.

Repeat behaviour is healthy and improving — but not yet the revenue engine



Cohort re-order curve and new-vs-returning revenue.

Recommendation. Fund a +1-to-+3-month reactivation program (lifecycle CRM, accessory cross-sell). Model repeat revenue as improving, but do not let it carry the plan yet — new-customer CAC is still the swing factor. Also fix returns: 8.0% rate is fine, but \$1.65M of margin leaks and 63% is for controllable (defect / "not as described" / wrong-item) reasons.

Every figure in this summary is reproduced on two independent stacks (DuckDB SQL and Python/pandas) from the curated data; parity checks under `data_analysis/parity/`. Full method, evidence and limitations in the companion Deep Dive.